

30692

Financial Accounting
(Module 1)

Academic year 2025-2026

Summary

Welcome back to Bocconi! We wish you all the best for the upcoming academic year.

This is the course **Financial Accounting – Module 1, code 30692**, which is the first of two Modules (Financial Accounting Module 2 – 30693 is taught in the second semester).

The average grade of the two exams will be registered in your transcript under the course code 30691 “Financial Accounting”.

Please find hereinafter an excerpt of the Syllabus.

Later on, as soon as possible for you, **please read carefully the whole Syllabus**, which is the reference for all information about the course.

Course content (30692 & 30693)

30692	30692 and 30693	30693	30693	30693
Sessions 1 to 8	Sessions 9 to 22, sessions 1 to 5	Sessions 6 to 10	Sessions 11 to 15	Sessions 16 to 23
<i>The foundations of the accounting system.</i> The accounting equation, the “pillars” of accounting (balance sheet, income statement); The periodic and adjusting entries in the double-entry system.	<i>Accounting and measurement of the main items of the balance sheet and the income statement</i> Revenues, receivables, cost of goods sold, inventories, tangible and intangible assets, liabilities and bonds, owners’ equity, investments in other corporations, foreign currency transactions and Value Added Tax (VAT).	<i>Two key topics: taxes and cash flow statement</i> The calculation and accounting treatment of income taxes. The preparation of the cash flow statement.	<i>Financial statements analysis</i> Focus on reclassification techniques and interpretation of key financial indicators	<i>Consolidated F/S</i> Preparation of consolidated financial statements: principles and methods.

Please find in the Syllabus the
INTENDED LEARNING OUTCOMES (ILOs)

Classes and instructors

Class	Instructors
12	D'Augusta
14	Merlotti – Paris
15	Regenburg – Hiemann
16	Merlotti - Sintoni
17	Regenburg – Hiemann
18	Gietzmann – Scarani
19	Scarani – Carretta
40	Hiemann
41	D'Augusta – Regenburg
42	D'Augusta - Scarani
43	Regenburg - Jamshdinejad

Course Director: Prof. Luca Simone Scarani

Prerequisites

To follow this course comfortably, students are expected to be familiar with the basic concepts of a management course. No prior knowledge of the double-entry accounting system is required at the beginning of the course.

Please note/1. You may decide to sit for the exam “Accounting 2” – 30693 and pass it before sitting (and passing) the exam “Accounting 1” – 30692.

Nevertheless, as Accounting 2 is the second part of an exam divided in two (Financial Accounting), please keep in mind that **all the notions you are going to learn in Accounting 1 will be asked and will be assumed as known to pass Accounting 2 exam.**

Please note/2: Accounting 1 is **not** an intermediate exam. once Accounting 1 is passed, then the grade is registered in the transcript and will **never** be canceled in future years.

Course materials

Course materials (assessed in the exam) are the following:

- BOOK: Libby, Libby, Hodge, Financial Accounting, 12th edition (with Connect), McGraw Hill 2025 – ISBN 9781265144913. Purchasing the book, you have:
 - Text
 - Exercises in the book (solutions will be uploaded on Blackboard)
 - Exercises online on McGraw-Hill “eConnect” website and the related solutions
- SLIDES: free for students, available on Blackboard
- EXERCISES (*specific*): a set of exercises for each chapter is uploaded on Blackboard for free. Solutions of exercises will be uploaded after discussion of the review sessions
- EXERCISES (*comprehensive*): other comprehensive exercises and related solutions are uploaded on Blackboard for free

Course materials

The book is also accessible both in Blackboard and here:

https://lib.unibocconi.it/search*ita/?searchtype=r&searcharg=+%09Accounting+and+financial+statement+analysis+--+Module+1&submit=Cerca

Please note: if the link doesn't work, or for any issue concerning the same, do NOT contact your instructors but instead, the Bocconi library.

Note: in Blackboard you will find a section named **“Extra Materials”**.

The materials in this folder are **NOT** assessed in the exam.

Course materials

The file “Detailed Content” lists with accuracy the exact materials / pages / slides covered in the course.

This file is uploaded in the folder “Syllabus and quiz/exam info”.

COURSE 30692 – FINANCIAL ACCOUNTING - A.Y. 2025/2026

DETAILED CONTENT

The book referred to in this document is the 12th edition of “Financial Accounting” by Libby, Libby, and Hodge.

1) FINANCIAL STATEMENTS AND BUSINESS DECISIONS

- CONTENT COVERED DURING LECTURES
- BOOK
 - All Chapter 1 from page 1 to page 24, excluding:
 - Page 15: Financial Analysis box.
 - Page 18: Why is GAAP important to managers and external users?
 - Page 19-20: What if Numbers Are Wrong + Ethical Conduct
 - All Chapter 1 slides, as uploaded to Blackboard, excluding the following slides: 26, 34, 36-38.
- CONTENT ON BLACKBOARD
 - Materials included in the section “Course Contents”



2) INVESTING AND FINANCING DECISIONS AND THE ACCOUNTING SYSTEM

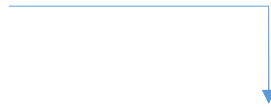
- CONTENT COVERED DURING LECTURES
- BOOK
 - All Chapter 2 from page 44 to page 78, excluding:
 - Page 55: Transaction (d)
 - Page 64: Transaction (d)
 - Page 68: Data Analytics box.
 - Page 71-73: Ratio Analysis in Decision Making + Key ratio analysis
 - Page 74: Focus on cash flows
 - All Chapter 2 slides, as uploaded to Blackboard, excluding the following slides: 26, 47, 53, 61-64.

Assessment methods (intro)

All students are graded based on a comprehensive exam (there are no partial exams), which is based on a mix of open questions, closed questions and exercises.

Exam dates are the following:

- 15 January 2026
- 03 February 2026
- 24 June 2026
- 04 September 2026



In the latter session (04 September 2026), the exam will be on a 30-point-basis. No bonuses. No extra points.

For the other three preceding sessions, please refer to the content of the following slides.

Assessment methods (intro)

Premise. We strongly believe in the importance of a process of **continuous learning**. Therefore, in a nutshell, during the semester the following occurs:

1. During the lectures in class, you will receive a number of questions (the so-called “**In Class Questions**”, “**ICQ**”) for a total of max. 4 points; however, only the first **3 points** will be counted. Any fraction of point above 3 will remain unused.
2. On December 1st at 8 AM, when you are at home, you will receive in Blackboard a Quiz that totals max. 3 points and so you may get a total of max. **3 points** as “**Bonus Quiz at home**”.

We believe that the Intended Learning Outcomes can be achieved at the top level **ONLY** if you actively follow the lectures and continuously study the materials provided. Nevertheless, **you are absolutely free to decide to skip** all these activities and projects.

Then, **when you register to sit for the exam**, you have two alternative options...



Assessment methods

“YES BONUS”

The “Yes Bonus” exam is for those happy with the score achieved during the semester.

Total points are 31, as follows:

- **25 pts: Written Exam**
- **3 pts: Bonus Quiz at home**
- **3 pts: In Class Questions** *(the first three points scored)*



“NO BONUS”

The “No Bonus” exam is either for (i) those unhappy with the score achieved during the semester, or (ii) for those who don’t intend to participate to the continuous learning process.

Total points are 31, as follows:

- **31 pts: Written Exam**

Further details about Written Exam, Quizzes and ICQ and are in the following slides.

Written exam

Students **must register** to sit for the exam. A student not registered is not allowed to take the exam.

At the end of the term, all students have a written exam. **A part of the exam text will be provided on paper but answers shall be entered on the student's laptop** (i.e., no paper), administered through Blackboard Original (i.e., NO Blackboard Ultra) and will use the software Lockdown Browser. The question types can be basically grouped as follows:

- Closed-ended questions (Multiple Choice, “true or false” and/or Multiple Answer questions) which (in the “NO BONUS” exam) are worth approx. 09-13 points.
- Open-ended questions (journal entries or other types of open-ended questions, e.g. exercises, fill in the blank etc) which (in the “NO BONUS” exam) are worth approx. 18-22 points.

The time available for the No Bonus exam will be more than that for the Yes Bonus exam. Grades might be curved upwards.

Only basic calculators will be admitted. If a calculator is deemed non-compliant due to advanced functions, it will be taken away until the end of the exam. The student may use the online calculator available in Lockdown Browser.

Further details will be uploaded timely on Blackboard.

In-class questions

During the semester, in each class, all professors will be entitled to assign points at their complete discretion, asking random questions (**ICQ**, In Class Questions) anytime during the lesson on the platform Blackboard Ultra at their convenience (the release date and time of the ICQ are not predetermined).

Also if you are in class with your classmates when the questions are released, you shall answer the ICQ individually (*i.e., you can't talk with anyone during the time available*); though, the assessment is open-book (*i.e., during the time available to answer, you can check your notes, textbook, etc.*).

Broadly speaking, the professors will release 10 to 12 ICQ, each worth 0,3 / 0,4 points during the semester. The total points students may earn with ICQ over the semester is up to 4 (FOUR).

Then, if you register to sit for the Yes Bonus exam, up to 3 points out of 4 from the In-Class Questions points will be automatically added to the exam points. Any fraction of point in excess to 3 and up to 4 will remain unused.

3 points out of 4 is the equivalent of 75% attendance, but in this case we don't award a "passive approach" (I am physically in class so I am attending) but instead an active participation (I follow the lectures and I am awarded for answering simple questions on topics explained by the professor).

Bonus Quiz at home

One short quiz is given to the students via Blackboard during the course. This quiz may consist of closed-ended and/or open-ended questions. It lasts approximately 10 minutes, and its main goal is to foster continuous assessment.

The quiz is not in presence. The quiz does not require the use of Lockdown Browser.

The release date of the quiz is scheduled on the following date: **December 01 at 08.00 AM Italian time** and covers up to chapter 9 (included) of the book (other details will be provided in a separate file) (Chapter 10 and the “advanced topics” are not assessed in the quiz).

If the student decides to register for the 25-point exam and not for the 31-point exam, the (up to) 6 points of the Quiz and ICQ are automatically assigned. In other words, these points are not “in addition to” the grade of the exam, but rather, these points are “SUBSTITUTIVE” of exam exercises that would be worth 6 points.

In any possible scenario (absence, failure, withdrawal) occurring in one exam session, the points scored in the Quiz and ICQ are still valid. They may be used in the subsequent sessions up to June 24th (included).

After 24/06/2026, the Bonus Quiz and ICQ points are no longer valid.

Attendance

Students ' attendance is recorded through the “Attendance” procedure.

NOTE: there is NO RELATION between in-class questions and the “Attendance” procedure. “Attendance” is recorded only for statistical purposes and gives NO extra points. There are no differences between the assessment and grading methods for “attending” and “not attending” students.

Obviously, the more a student attends and actively follows the lessons, the more ICQ points will (likely) score. Nevertheless, a student might also attend 1 lesson out of 22 (thus being “not-attending” for Attendance purposes) and get (for example) 0,4 points because he/she was there on the day in which an ICQ was released; conversely, an “attending” student (22 lectures out of 22) might get zero ICQ points if he/she answers all the questions wrong during the semester.

Lectures timetable

Session	Chapter	Notes
1	1	Course presentation and details on its contents and objectives. The F/S and Business decisions.
2	2	Investing and Financing Decision and the Accounting System.
3	2	cont'd.
4	2	cont'd. Exercises.
5	3	Operating Decisions and the Accounting System.
6	2 / 3	cont'd. Exercises.
7	4	Adjustments, financial statements and the quality of earnings.
8	4	cont'd. Exercises.
9	6	Reporting and interpreting Sales Revenue, Receivables, and cash.
10	6	cont'd.
11	7	Reporting and interpreting Cost of Goods Sold and Inventory
12	7	cont'd.
13	6 / 7 eserc	cont'd. Exercises.
14	8	Reporting and interpreting Property, Plant and Equipment; intangibles; and natural resources.
15	8	cont'd.
16	8 / 9	cont'd. Exercises. Reporting and interpreting Liabilities.
17	9	cont'd.
18	8 / 9 eserc	cont'd. Exercises.
19	10	Reporting and interpreting Bond Securities.
20	10	cont'd. Exercises
21	Additional Topics	Foreign exchange currency and VAT (Value-Added Tax)
22	Additional Topics	Foreign exchange currency and VAT (Value-Added Tax)

The in-class teaching schedule of chapters 6 to 9 might vary between classes

This is our goal!

Da: [REDACTED]
Inviato: [REDACTED]
A: [REDACTED]
Oggetto: Thank you

Dear professor [REDACTED]

How have you been? I hope you are doing well in these very challenging times. During my studies at Bocconi, you were my professor in both accounting 1 and accounting 2 courses. I am writing you, to thank you for all your guidance and help. I particularly struggled with accounting 1 as it

[REDACTED]

I am currently working at Deloitte Greece in the M&A department, all the things you taught us I am currently using from general ledger entries to accrued income. I want to thank you again for all the practice sessions and time you dedicated to us; I truly do not think I would have been able to be able to cope with the demands of my job had it not been for your classes.

Best regards,

[REDACTED]

This is our goal! (cont'd)

Dear Prof. [REDACTED]

I hope this email finds you well!

Sorry for the late update, I just received an invitation of second interview with Mazars Luxembourg HR this morning.

I would like to express my sincere gratitude [REDACTED]. During the first interview they asked about adjusting entries, unearned revenues, and some key assumptions. Two that I missed are “prudence” and “VAT in Europe”. (Sorry they are super basic but I’m not very familiar with the term and pronunciation). But overall I “have the basics”.

Thank you again for your time and kind help, I wish you all the best and happy holidays!

Sincerely,

[note: in those years, VAT was not covered in the course]

This is our goal! (cont'd)

Dear Professor [REDACTED]

I remember you showing emails coming from past students describing how useful the accounting courses had been for their employment and their careers, and I recall being a little skeptical about it.

I recently started a position that requires me to work closely with cashflows and financial statements analysis and I couldn't be more satisfied with the rigorous preparation that your classes taught me.

During my interview I was asked to analyze a certain financial statement and I'm pretty sure I got the job because I was able to recognize that interest expenses accrued over the time of construction of the asset could be capitalized. Your practical examples were really helpful, and I encourage all students to pay attention during class because from my experience it really is the little thing that you think you will immediately forget that will come in hand in the times of need.

Thank you again and I wish for your future students to learn as much as I did from you.

E [REDACTED]